

Informality, Dualism, and Contract Enforcement

Labor Markets and Political/Cultural Institutions — Week 3

Teaching deck draft

Central question

- How are labor markets organized when formal contracts, payroll systems, and legal protections cover only part of work?
- Which margin is informal: the worker, the firm, the job, payroll reporting, or effective enforceability?
- How do worker and firm decisions jointly shape wages, benefits, mobility, productivity, and welfare?

- Week 2: law matters when enforcement, knowledge, and compliance make it effective.
- Week 3: partial enforcement creates formal, informal, and partly formal labor exchange.
- The formal–informal margin is not one binary variable.
- Keep separating law, enforcement, compliance, incidence, and contract quality.

What counts as informality?

Object	Labor-market interpretation
Unregistered firm	business is outside registries, tax systems, or licenses
Off-the-books worker	registered firm hides some employment relationships
Informal wage job	wage work lacks payroll registration, benefits, or protection
Own-account work	self-employment outside formal tax and benefit systems
Missing compliance	payroll, wages, benefits, hours, or severance are underreported
Unenforceable contract	written or verbal promise cannot be credibly claimed

Extensive and intensive margins

- Extensive firm margin: whether the firm registers at all.
- Extensive job margin: whether a worker-firm match is reported as formal.
- Intensive payroll margin: whether wages, hours, and contributions are fully reported.
- Intensive enforcement margin: whether benefits and contract terms are actually claimable.
- A registered firm can still employ informal workers.

Dualism vs. equilibrium views

View	Worker implication	Firm implication
Dualist	workers rationed out of better formal jobs	informal firms are persistently low productivity
Competitive	workers sort by costs, benefits, flexibility, and outside options	firms choose status by taxes, regulation, and enforcement
Modern equilibrium	segmentation and sorting can coexist	heterogeneous firms exploit several informal margins
Institutional	protection depends on enforceability and state capacity	compliance depends on visibility, sanctions, and formal benefits

Anchor papers

Anchor	Use in Week 3
Ulyssea overview	map causes, consequences, and policy margins
La Porta–Shleifer	dualist productivity-gap benchmark
Ulyssea Brazil	firm registration, payroll informality, and structural policy counterfactuals
Meghir–Narita–Robin	wages, search, sorting, and compensating differentials
Naidu–Yuchtman	contract enforcement as a labor-market institution
Samaniego–Fernandez	modern enforcement change in informal employment costs
Gerard	social-program incidence around the formal–informal margin

- Wages: penalties, premia, wage offsets, and compensating differentials.
- Benefits: social insurance, health, pensions, leave, severance, injury protection.
- Risk: volatility, nonpayment, dismissal, injury, and weak claims.
- Mobility: transitions between informality, formality, unemployment, and self-employment.
- Sorting: skill, outside options, networks, household constraints, and benefit valuation.

Wage gaps are not enough

- A formal–informal wage gap may reflect productivity sorting.
- It may reflect rationing out of formal jobs.
- It may reflect missing benefits and risk compensation.
- It may reflect firm-level evasion and payroll costs.
- Interpretation needs transitions, benefits, firm productivity, and worker characteristics.

- Registration: whether the business becomes visible to the state.
- Payroll reporting: whether workers, wages, hours, and contributions are recorded.
- Compliance: whether mandated benefits and contract terms are actually paid.
- Productivity and scale: formal status can affect credit, buyers, courts, and size.
- Adaptation: firms may shrink, outsource, split entities, reclassify workers, or substitute technology.

Registration is not payroll compliance

State	What is visible?	What can still be hidden?
Unregistered firm	little or no firm record	workers, wages, output, benefits
Registered firm	firm identity, sector, location	off-the-books workers and under-reported wages
Payroll record	worker match and some earnings	hours, true wage, benefits, enforceability
Formal contract	written terms	actual claimability and retaliation risk

$$V_{ij}^{formal} - V_{ij}^{informal} = B_{ij} - C_{ij}(R, E, \tau) + X_{ij}(K, Q)$$

- B_{ij} : benefits of formal status for the worker-firm match.
- C_{ij} : registration, payroll, tax, compliance, and expected enforcement costs.
- X_{ij} : gains from contract quality, courts, credit, reputation, or stable matches.
- Teaching device: formal status is valuable only through concrete worker and firm margins.

Formal contract vs. effective enforceability

- A written contract can exist without accessible claims.
- Payroll registration can exist without complete benefit receipt.
- Informal relationships can be supported by reputation or repeated interaction.
- Naidu–Yuchtman: legal enforceability of labor contracts changed wages and labor-market adjustment.
- The key question is whose claims are enforceable and at what cost.

Equilibrium interactions

- Workers value cash wages, benefits, risk, flexibility, and mobility differently.
- Firms value payroll savings, formal market access, credit, courts, and enforcement avoidance differently.
- Stronger enforcement can formalize jobs, shrink firms, change wages, or reallocate employment.
- Social programs can change the value of formal or informal status.
- The welfare object is a joint worker–firm and policy-incidence problem.

Empirical designs and what they identify

Design	Identifies best	Observed margin
Worker panels	sorting and job ladders	transitions, wages, benefits
Inspection intensity	enforcement and compliance	payroll, formality, wages, firm response
Matched worker–firm models	wage-setting and sorting	wages, flows, firm productivity
Structural firm models	registration and payroll choices	scale, evasion, welfare
Policy discontinuities	benefit or tax wedges	take-up, formality, welfare
Historical legal designs	contract enforceability	wages, mobility, bargaining

Diagnostic rule

- Do not say “informality changes” without naming the margin.
- Did firm registration rise?
- Did payroll reporting rise?
- Did benefit receipt or contract claimability rise?
- Did workers move, wages change, or firms reallocate employment?
- The identifying variation determines the object identified.

- Reproduce: synthetic Ulyssea-style firm margins for registration and payroll reporting.
- Diagnose: classify worker-transition and wage patterns using Meghir–Narita–Robin.
- Transfer: apply the classification to a modern enforcement setting.
- Core output: what side moves, what margin is observed, and what the design identifies.

- Week 2: when does labor law become effective?
- Week 3: what happens when formal contracts cover only part of work?
- Week 4: how do workers act collectively when individual claims are weak?
- Worker voice changes bargaining, monitoring, compliance, and surplus division.

Takeaways

- Informality is a two-sided labor-market institution.
- Worker formality, firm registration, payroll reporting, and enforceability are different margins.
- Dualism and sorting are not mutually exclusive in equilibrium.
- Strong empirical work names the observed margin and the identifying variation.